

Without dwelling on positivism, I have to note that Popper is the antidote to positivism. To him, verification is not possible. Verificationism is more dangerous than anything else. Taken to the extreme, Popper's ideas appear naïve and primitive – but they work. Note that his detractors call him a *naïve falsificationist*.

I am an exceedingly naïve falsificationist. Why? Because I can survive being one. My extreme and obsessive Popperism is carried out as follows. I speculate in all of my activities on theories that represent some vision of the world, but with the following stipulation: no rare event should harm me. In fact, I would like all conceivable rare events to help me. My idea of science diverges with that of the people around me walking around calling themselves scientists. Science is mere speculation, mere formulation of conjecture.

OPEN SOCIETY

Popper's falsificationism is intimately connected to the notion of an open society. An open society is one in which no permanent truth is held to exist; this would allow counterideas to emerge. Karl Popper shared ideas with his friend, the low-key economist Von Hayek who endorsed capitalism as a state in which prices can disseminate information that bureaucratic socialism would choke. Both notions of falsificationism and open society are, counterintuitively, connected to those of a rigorous method for handling randomness in my day job as a trader. Clearly, an open mind is a necessity when dealing with randomness. Popper believed that any idea of Utopia is necessarily closed in the fact that it chokes its own refutations. The simple notion of a good model for society that cannot be left open for falsification is totalitarian. I learned from Popper, in addition to the difference between an open and a closed society, that between an open and a closed mind.

NOBODY IS PERFECT

I have some sobering information about Popper the man. Witnesses of his private life find him rather un-Popperian. The philosopher and

Oxford don Brian Magee⁶ who befriended him for close to three decades depicts him as unworldly (except in his youth) and narrowly focused on his work. He spent the last 50 years of his long career (Popper lived 92 years) closed to the outside world, insulated from outside distractions and stimulation. Popper also engaged in giving people "firm sounding advice about their career or their private life, though he had little understanding of either. All this, of course, was in direct contravention of his professed (and indeed genuine) beliefs, and practices, in philosophy."

He was not much better in his youth. Members of the Vienna Circle tried to avoid him, not because of his divergent ideas, but because he was a social problem. "He was brilliant, but self-focused, both insecure and arrogant, irascible and self-righteous. He was a terrible listener and bent on winning arguments at all costs. He had no understanding of group dynamics and no ability to negotiate them".⁷

I will refrain from commonplace discourse about the divorce between those who have ideas and those who carry them in practice, except to bring out the interesting genetics problem; we like to emit logical and rational ideas but we do not necessarily *enjoy* this execution. Strange as it sounds, this point has only been discovered very recently (we will see that we are not genetically fit to be rational and act rationally; we are merely fit for the maximum probability of transmitting our genes in some given unsophisticated environment). Also strange as it sounds, George Soros, obsessively self-critical, seems to be more Popperian than Popper in his professional behavior.

PASCAL'S WAGER

I conclude with the exposition of my own method of dealing with the problem of induction. The philosopher Pascal proclaimed that the optimal strategy for humans is to believe in the existence of God. For if God exists, then the believer would be rewarded. If he does not exist, the believer would have nothing to lose. Accordingly, we need to accept the asymmetry in knowledge; there are situations in which using statistics and econometrics can be useful. But I do not want my life to depend on it.